

Practice Quiz: Strategic Modeling — Module 06:

Learning

Name: ____ Date: ____

Part A: Multiple Choice

1. **Dynamic capabilities** (Teece) consist of: A) Static resources B) Sensing, seizing, and transforming — the organizational capacity to adapt C) Competitive moves D) Market position
 2. Google's innovation portfolio exemplifies: A) Random investment B) Strategic experimentation — running diverse experiments to generate learning about future opportunities C) Cost reduction D) Conservative strategy
 3. The **competitive learning loop** determines advantage because: A) Learning is free B) Organizations with faster sense→update→act→observe cycles outcompete those with slower loops C) Learning is a core competency D) Competitors don't learn
 4. **Strategic unlearning** is necessary when: A) Employees forget things B) A previously successful strategy is no longer viable and the old model prevents adaptation C) Training budgets are cut D) New employees arrive
 5. **Fail fast** cultures generate faster learning because: A) They celebrate failure B) Experiments are designed to produce clear results quickly, enabling rapid model updating C) They set low standards D) Failure is inevitable
 6. "Probe and learn" involves: A) Market research B) Small-scale experiments that test strategic assumptions cheaply before full commitment C) Focus groups D) Competitor imitation
 7. Organizational **inertia** slows strategy adaptation by: A) Making the organization heavier B) Making it difficult to update established routines, beliefs, and resource commitments even when the competitive model changes C) Reducing momentum D) Causing physical slowness
-

Part B: Short Analysis

1. Design three "strategic experiments" for an organization considering a new market entry. Each should test a different critical assumption. Specify what you'd learn, at what cost, and in what timeline.
2. Your organization has the same strategic planning cycle it used 20 years ago: annual planning with quarterly reviews. Your main competitor updates strategy monthly. Redesign your competitive learning loop for faster cycle time.
3. An organization was enormously successful with one business model for 15 years. Now the market is shifting, but the organization can't seem to adapt. Diagnose this using dynamic capabilities and strategic unlearning. What specific actions would break the inertia?